Shortly Thereafter, Huntsman Made Even More Promises to Shareholders at the 2018 Investor Day and Failed Yet Again

Shortly after Peter Huntsman's appointment as Chairman, the Company hosted its 2018 Investor Day, and expressed confidence that it could improve its share price to ~$60 per share by 2020. The Company ultimately FAILED to deliver on its commitment.(1)

2018 Investor Day Goal	Improve Share Price to ~$60 per Share by 2020(1)	FAILED

Value Creation Lever	Description	Per Share Impact	Result?
A Grow Adjusted EBITDA	The Company targeted a 10% CAGR from 2017 through 2020	~$11 / share	FAILED
B Monetize Remaining Stake in Venator Materials PLC ("Venator")	In 2017, Huntsman spun-off its TiO2 business into a separately-traded public company named Venator, but retained a 53% stake in the entity estimated to be worth ~$1 billion	~$4 / share	FAILED
C Generate Free Cash Flow	Generate $1.7 billion of cumulative free cash flow between 2018 and 2020	~$5 / share	FAILED
D Multiple Re-Rating	The Company believed that executing on the above three value creation levers would help Huntsman improve its valuation multiple	~$7 / share	FAILED

Huntsman failed to achieve its 2018 Investor Day share price improvement goal.

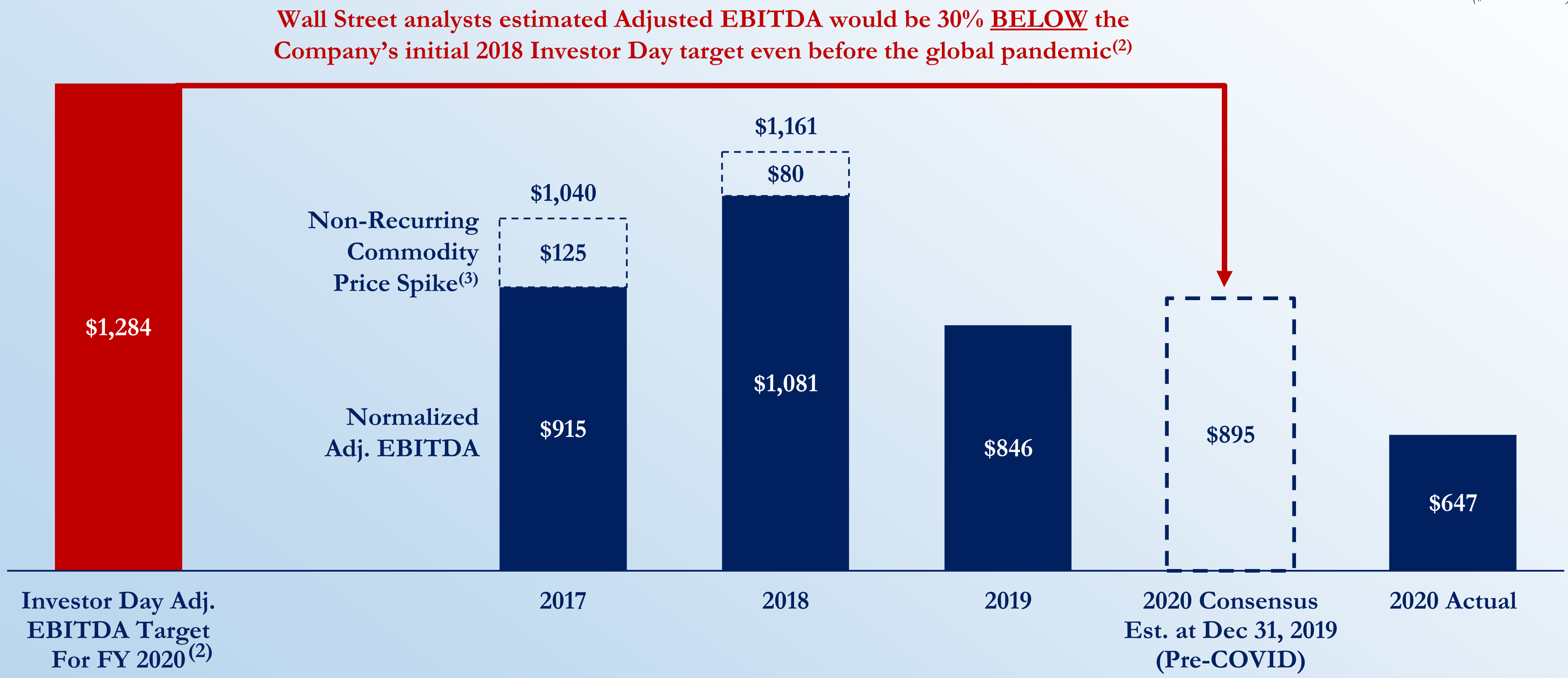
See Section 4 for additional detail. Source: Public company filings, presentations, and transcripts, CapitalIQ. (1) The Company's closing share price on the day prior to the 2018 Investor Day was $32.02. The Company committed to improving share price by at least $27 per share by 2020, which implied a 2020 target share price of approximately $60 per share by December 31, 2020.

A The Company Failed to Achieve Its Adjusted EBITDA Target

Prior to the 2020 global pandemic, Wall Street consensus estimated Adjusted EBITDA to be $895 million in 2020, which was 30% below the Company's initial 2018 Investor Day target.

Adjusted EBITDA vs. 2018 Investor Day Target(1)

($ in millions)



Even prior to the global pandemic, Wall Street analysts believed the Company would significantly miss its 2018 Investor Day commitment to grow Adjusted EBITDA at a 10% CAGR through 2020.

See Section 4 for additional detail. Source: CapitalIQ, Public company filings and presentations. (1) Adjusted EBITDA pro forma for the sale of Huntsman's Chemical Intermediates business. (2) 2020 target calculated by taking 2017 Adjusted EBITDA pro forma for the sale of Chemical Intermediates (i.e. $1,040 million) then adjusting for the impact of one-time events as disclosed on pg. 18 of the Company's 2018 Investor Day presentation, which results in pro forma 2017 Adjusted EBITDA of $965 million. We then apply a 10% growth rate over three years, consistent with management targets in the Company's 2018 Investor Day presentation. (3) $125 million commodity price spike in 2017 per page 4 of the Company's Q4 2017 earnings presentation. $80 million commodity price spike in 2018 per Q1 to Q3 2018 earnings presentations.

B Huntsman Sold Its Venator Stake For ONLY $140 Million, $860 Million LESS Than What Had Been Promised[(1)]

The Company's ownership in Venator was liquidated at a fraction of the value that had been previously communicated to shareholders at Huntsman's 2018 Investor Day.

In 2018, the Company committed to monetizing its 53% stake in Venator for AT LEAST $1.0 billion…

"So again, I know that some are very anxious that we hold those shares. Others, very anxious that we sell those shares or swap those shares and so forth. **We've got a very close handle on that, and it is our objective to be able to monetize those shares this year and. And to bring in another, at least, $1 billion into the company and into the cash flow of the company.**"

Peter Huntsman, Chairman, President & CEO
May 2018

…Unfortunately, the Company ultimately sold its stake in Venator for just ~$140 million[(1)]

Huntsman Agrees to Sell its Remaining Interest in Venator Materials PLC

August 28, 2020 5:16pm EDT

Download as PDF

THE WOODLANDS, Texas, Aug. 28, 2020 /PRNewswire/ -- Huntsman Corporation (NYSE: HUN) announced today that it has entered into a definitive agreement with funds advised by SK Capital Partners, LP to sell approximately 42.5 million of the shares it holds in Venator Materials PLC for a cash purchase price of approximately $100 million, including a 30-month option for the sale of the remaining approximate 9.5 million shares it holds at $2.15 per share. The transaction is subject to regulatory approvals and is expected to close near year-end.

Huntsman sold its remaining stake in Venator for only $140 million, which was $860 million LESS than what shareholders had been promised in 2018.[(1)]

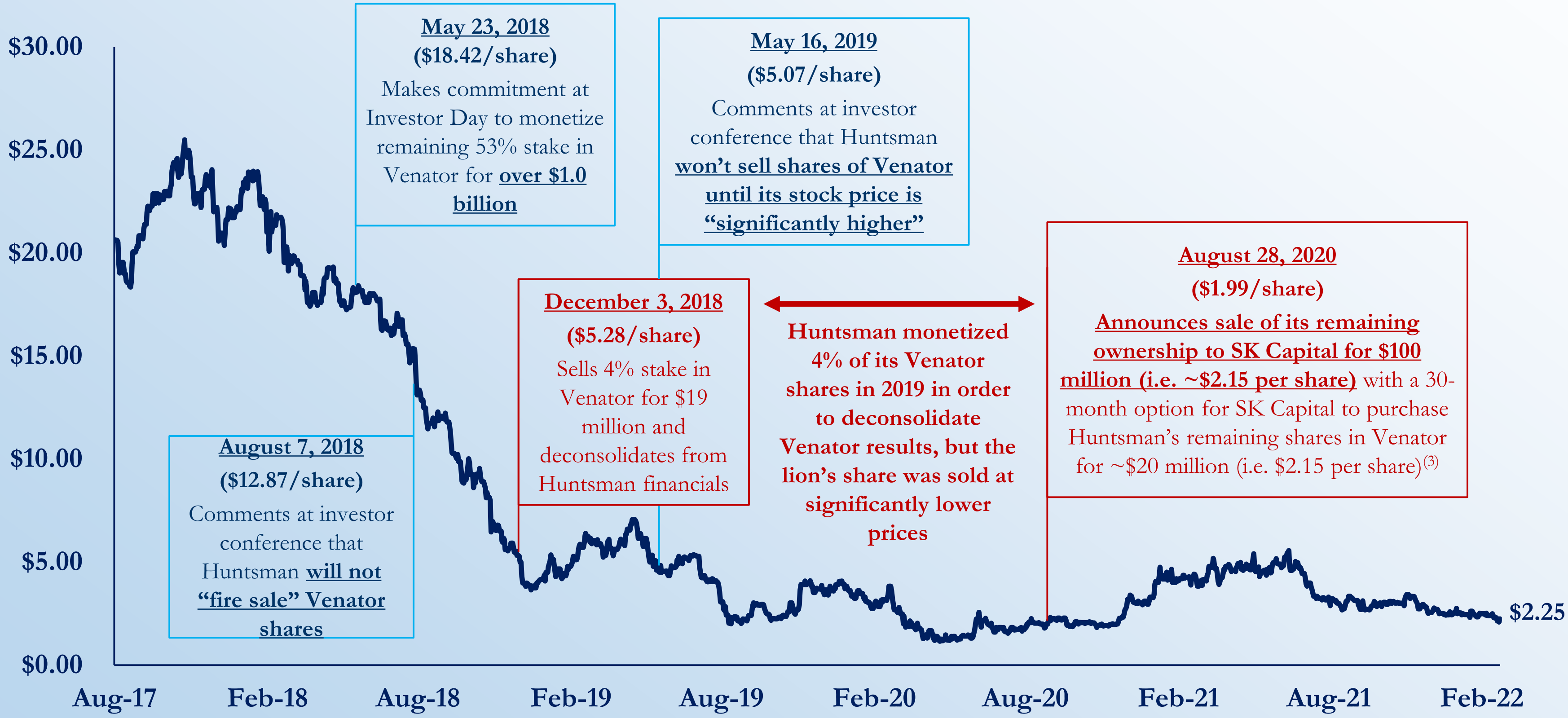
See Section 4 and Supplemental Materials Part B for additional detail. Source: Public company filings, presentations, and transcripts. (1) $140 million calculated as $100 million cash payment from SK Capital, plus $20 million assuming SK Capital exercises its call options for 9.5 million shares at $2.15 per share, plus $20 million in sale process from Huntsman's 4% Venator stake sold December 3, 2018 in order to deconsolidate the business.

Starboard Value

B The Company Disposed of Venator at "Fire Sale" Prices After Refusing for Years to Sell at Significantly Higher Prices

In August 2017, Huntsman IPO'd its TiO2 business, Venator, into a publicly-traded entity while retaining a 53% stake, which the Company committed to monetizing for over $1.0 billion.

Venator Historical Stock Price Chart(1)



Huntsman committed to monetizing its Venator stake for over $1.0 billion, but ultimately received less than 15% of that amount after conducting a "fire sale" in 2020.(2)

See Section 4 and Supplemental Materials Part B for additional detail. Source: CapitalIQ, public company filings, transcripts, and press releases. (1) Stock price shown from August 3, 2017, the date of Venator's IPO, through February 25, 2022. (2) Huntsman received only $140 million for its Venator stake. $140 million calculated as $100 million cash payment from SK Capital, plus $20 million assuming SK Capital exercises its call options for 9.5 million shares at $2.15 per share, plus $20 million in sale process from Huntsman's 4% Venator stake sold December 3, 2018 in order to deconsolidate the business. (3) The $100 million SK Capital paid to Huntsman on August 28, 2020 was divided into two parts, ~$91 million for 42.4 million shares, and $8 million for the option to purchase Huntsman's remaining stake at $2.15 per share. As a result, while SK Capital paid ~$100 million to Huntsman, the per share value paid for the 42.4 million shares transacted is $2.15 per share.